

5-2e Strategic Trade

Except mercantilism, none of the theories above has anything to say about the role of governments. Since the days of Adam Smith, government intervention has usually been regarded as undesirable. However, government intervention is extensive and is not going away. Can government intervention actually add value? Since the 1970s, a new theory, **strategic trade theory** (A theory that suggests that strategic intervention by governments in certain industries can enhance their odds for international success.), has addressed this question.

Strategic trade theory suggests that strategic intervention by governments in certain industries can enhance their odds for international success. What are these industries? They tend to be high capital-intensity, high entry-barrier industries in which domestic firms may have little chance without government assistance. These industries also feature substantial

first-mover advantages (Benefits that accrue to firms that enter the market first and that late entrants do not enjoy.)

—namely, advantages that first entrants enjoy and do not share with late entrants. One leading example is the commercial aircraft industry. Founded in 1915 and strengthened by large military orders during World War II, Boeing has long dominated this industry. In the jumbo jet segment, Boeing's first-mover advantages associated with its 400-seat 747, first launched in the late 1960s, are still significant today. Alarmed by such US dominance, in the late 1960s, British, French, German, and Spanish governments realized that if they did not intervene in this industry, individual European aerospace firms on their own might be driven out of business by US rivals. Therefore, these European governments agreed to launch and subsidize Airbus. In four decades, Airbus has risen from nowhere to a position where it now has a 50–50 split of the global market with Boeing.

How do governments help Airbus? Let us use a recent example: the super-jumbo aircraft, which is larger than the Boeing 747. Both Airbus and Boeing are interested in entering this market. However, the demand in the next 20 years is only about 400 to 500 aircraft and a firm needs to sell at least 300 just to break even, which means that only one firm can be profitably supported. Shown in **Figure 5.5** (Panel A), if both enter, the outcome will be disastrous because each will lose US\$5 billion (Cell 1). If one enters and the other does not, the entrant will make US\$20 billion (Cells 2 and 3). It is possible that both will enter and clash. If a number of European governments promise Airbus a subsidiary of, say, US\$10 billion if it enters, then the picture changes to Panel B. Regardless of what Boeing does, Airbus will find it lucrative to enter. In Cell 1, if Boeing enters, it will lose US\$5 billion as before, whereas Airbus will make US\$5 billion (US\$10 billion subsidy minus US\$5 billion loss). So, Boeing has no incentive to enter. Therefore, the more likely outcome is Cell 2, where Airbus enters and enjoys a profit of US\$30 billion. Therefore, the subsidy has given

Airbus a *strategic* advantage, and the policy to assist Airbus is known as a **strategic trade policy** (Government policy that provides companies a strategic advantage in international trade through subsidies and other supports.)

. This has indeed been the case, as the 550-seat A380 has recently entered service.

Figure 5.5

Entering the Very Large, Super-Jumbo Market?

How would strategic trade theory explain Airbus' decision to launch this aircraft?



Strategic trade theorists do not advocate a mercantilist policy to promote all industries. They only propose to help a few strategically important industries. However, this theory has been criticized on two accounts. Ideologically, many scholars and policy makers are uncomfortable. What if governments are not sophisticated and objective enough to do this job? Practically, a lot of industries claim that they are strategically important. Overall, where to hold the line between strategic and nonstrategic industries is tricky.

Chapter 5: Trading Internationally: 5-2e Strategic Trade

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